

**IN THE COURT OF COMMON
PLEAS KNOX COUNTY, OHIO
CIVIL DIVISION**

**STATE OF OHIO, ex rel. DAVE YOST,
ATTORNEY GENERAL**

Plaintiff,

v.

**THE LANDINGS PROPERTY OWNERS
ASSOCIATION, INC., et al.,**

Defendants.

MULLINS BROS. LTD.,

Third-Party Plaintiff,

v.

CAROL A. DIDINGER, TRUSTEE, et al.,

Third-Party Defendants.

Case No. 20IN06-0149

VISITING JUDGE JAMES L.
KIMBLER

**PLAINTIFF STATE OF OHIO'S
SECOND SUPPLEMENTAL
MEMORANDUM**

Pursuant to the Court's April 19, 2024 Journal Entry, Ohio Attorney General Dave Yost on behalf of the State of Ohio, by and through his undersigned assistants, respectfully submits this Second Supplemental Memorandum to address the additional issue raised by the Long Defendants in their Supplemental Memorandum filed March 26, 2024.

I. INTRODUCTION

In their Supplemental Memorandum, the Long Defendants contend, without citing any legal authority, that the transfer of the property where the Knox Cattle Company Dam (“Dam”) and the lake it forms (“Lake”) are located, from Defendant Mullins Bros., Ltd. (“Mullins Bros.”) to Defendant Landings Property Owners Association, Inc. (“Association”), was invalid and should be set aside by the Court.

Specifically, the Long Defendants argue that Steve Mullins failed to comply with Ohio law regarding the establishment of the Association as a nonprofit corporation because he failed to fulfill several corporate formalities and responsibilities regarding the Association. Therefore, the Long Defendants claim that the Association was defective and invalid, and that the August 1, 2007 quitclaim deed from Mullins Bros. to the Association should be set aside: leaving Mullins Bros. the owner of the property upon which the Dam and Lake sit, and the entity that may be declared the owner of the Dam. *See* Long Defendants’ Mar. 26, 2024 Supplemental Memorandum, p. 17-19.

In response to the Court’s April 19, 2024 Journal Entry, the State provides this Second Supplemental Memorandum to assist the Court in its consideration of this additional issue. To resolve this question, the Court must determine whether the Association is legally valid. If the Court finds that the Association is invalid, as the Long Defendants contend, then the Court could set aside the conveyance of the Dam and Lake property. However, if the Court finds that the Association is a de jure corporation, de facto corporation, or that the estoppel doctrine applies, then the August 1, 2007 transfer of that property to the Association was valid, and the Association may be declared the owner of the Dam.

A. De Jure Corporation

A corporation properly formed under R.C. Chapter 1702 is a de jure corporation and may hold and convey real property. *See* R.C. 1702.12. If the Court finds that the Association was properly formed under R.C. Chapter 1702, then the August 1, 2007 transfer of the Dam and Lake property to the Association was valid.

B. De Facto Corporation

Even if a corporation is not properly formed and, therefore, not a de jure corporation, if the corporation is a de facto corporation, then it is treated as a de jure corporation for purposes of its dealings with anyone other than the State of Ohio. *See Thomas v. Price*, 133 Ohio App.3d 585, 589, 729 N.E.2d 427 (1st Dist. 1999) (“A de facto corporation possesses all of the power and authority of a de jure corporation and only the state whose laws govern its formation may challenge its actions.”); *Fleischhauer v. Feltner*, 879 F.2d 1290, 1299 (6th Cir. 1989) (“a de facto corporation possesses all of the power and authority of a de jure corporation”).

In this case, if the Association is a de facto corporation, the August 1, 2007 transfer of the Dam and Lake property from Mullins Bros. to the Association is valid. *Mourray v. Evanoff*, 6th Dist. Wood No. WD-96-042, 1997 Ohio App. LEXIS 2168, * 9 (May 23, 1997) (“A corporation de facto may acquire, hold and convey legal title to real estate.”); *accord Kardo Co. v. Adams*, 231 F. 950, 972 (6th Cir. 1916) (a de facto corporation may “acquire and transmit property”).

Certain conditions must be met for an organization to be a de facto corporation. “There must be: (1) a general law under which a corporation may lawfully exist; (2) a good faith attempt to organize under the law and a colorable compliance with the statutory requirements; and (3) actual use or exercise of corporate privileges.” *Fleischhauer*, 879 F.2d at 1299.

1. General law under which a corporation may lawfully exist

Under the first condition, if the Association could have existed as a de jure corporation under R.C. Chapter 1702, assuming the proper procedures had been followed, then this first condition is met.

2. Good Faith and Colorable Compliance

Next, the Court must determine whether there was an attempt, in good faith, to organize the Association under R.C. Chapter 1702 and colorable compliance with Chapter 1702's provisions. *See Jade Sterling Steel Co. v. Stacey*, 8th Dist. Cuyahoga No. 88283, 2007-Ohio-532, ¶ 15, citing *Greenwald v. James Rose and Syn Tech Products Corp.*, 6th Dist. Lucas No. L-80-037, 1980 Ohio App. LEXIS 12418, *4 (Dec. 19, 1980); *Quality Interiors, Inc.*, 11th Dist. Geauga No. 88-G-1479, 1990 Ohio App. LEXIS 5399, *12 (Feb. 16, 1990).

Good faith is essential to the analysis. *See Kardo*, 231 F. at 966 (“So far as the conduct and purposes of the promoters, the incorporators, or the directors of the Kardo Company, are concerned, every step taken, both by intention and by results, was marked by absolute good faith. This is a vital fact.”).

“Where there is an absence of a good faith effort to incorporate or necessary steps are not taken to complete incorporation, individual liability may exist.” *Jade* at ¶ 15, citing *Greenwald* at *4. In *Jade*, the court held that there was no good faith attempt to incorporate where, although the incorporator sent the articles of incorporation to the Secretary of State, obtained an employer identification number, and filed corporate tax returns, the incorporator did not verify that the articles were accepted or approved by the Secretary of State or that the Secretary of State issued a certificate of incorporation. *Id.* at ¶ 16.

Where the incorporator fails to file the articles of incorporation with the Secretary of State, the incorporator has not made a good faith attempt to comply with the law and there is no

colorable compliance. *Americare Healthcare Servs. v. Ngozi Akabuaku*, 10th Dist. Franklin No. 10AP-777, 2010-Ohio-5631, ¶ 12; *Quality Interiors*, 1990 Ohio App. LEXIS 5399, at * 12; *accord Fleischhauer*, 879 F.2d at 1299 (the only evidence of incorporation was “two letters written on Krypton stationery and Feltner’s remark that he thought he told his lawyer to incorporate Krypton.” There was nothing else in the record to indicate that “Krypton was any kind of entity capable of holding legal or beneficial title to property.”).

Even if an incorporator files the articles of incorporation, if they do nothing more to complete the incorporation, courts have denied de facto corporate status. In *Greenwald*, the court held that where there has been a complete failure to take *any* steps to organize the corporation after the articles of incorporation are filed, the organization is denied de facto corporate status. *Greenwald*, 1980 Ohio App. LEXIS 12418, at * 4, citing *Beck v. Stimmel*, 39 Ohio App. 510, 177 N.E. 920 (10th Dist. 1931); *accord Eder v. M.D.F. Enterprises, Inc.*, 8th Dist. Cuyahoga No. 52667, 1988 Ohio App. LEXIS 1257, * 10 (April 7, 1988).

In both *Greenwald* and *Beck*, the articles of incorporation had been filed, but “(1) no stock was ever subscribed; (2) no shareholders’ meeting or election of a board of directors was held; (3) no code of regulations was ever adopted; (4) no officers were ever elected; (5) no capital stock was ever paid into the company; and (6) *no business was ever transacted*.” (Emphasis added.) *Greenwald* at * 4; *see Beck* at 511 (“no business of any kind or character [was] transacted”).

In *Cedar View v. Colpetzer*, N.D. Ohio No. 5:05-Cv-00782, 2007 U.S. Dist. LEXIS 113070, * 7 (March 20, 2007), the court held that Cedar View was a de facto corporation at the time of the transaction at issue – the sale of cattle. The articles of incorporation had been filed in June 2004, Cedar View was “officially incorporated” in July 2004, the contract between Cedar View and the sellers was dated May 26, 2004 and the certificates of veterinary inspection were

dated May 25, 2004. *Id.* at * 2-3. Even though Cedar View was not officially incorporated until over a month after the sale, the court held that Cedar View was a de facto corporation for purposes of the transaction. *Id.*

3. Actual Use or Exercise of Corporate Privileges

To meet the final requisite for the existence of a de facto corporation, the Association must have used or exercised at least some of its corporate privileges. *Cedar View*, 2007 U.S. Dist. LEXIS 113070, at * 7; *Kardo Co. v. Adams*, 231 F. 950, 966 (6th Cir. 1916) (the organization must be an “actual user of the corporate franchise.”).

In *Society Perun v. Cleveland*, 43 Ohio St. 481, paragraph 1 of the syllabus (1885) the Court held that the organization was a de facto corporation where the corporate franchises were used “uninterrupted and unchallenged [for] a number of years, and valuable rights and interests ha[d] been in good faith acquired, enjoyed and disposed of by such organization, acting as a body corporate.” Thus, where a de facto corporation has exercised its corporate powers and authority to obtain valuable rights and interests, public policy and fairness support protecting those rights and interests. *See id.*; accord *Kardo* at 969.

In *Cooper vs. Stetler*, 8th Dist. Cuyahoga No. 42885, 1981 Ohio App. LEXIS 14044, * 10 (June 18, 1981), the organization operated under the wrong corporate name for several weeks. Nevertheless, the organization was a de facto corporation during that time because it actually operated, was licensed by the Ohio Department of Commerce, and valuable rights were acquired in the organization’s name – specifically the name and assets of a separate business. *Id.* at * 10-11, citing *Society Perun* at paragraph 1 of the syllabus.

In *Cedar View*, 2007 U.S. Dist. LEXIS 113070, at * 8, the court held that the organization used and exercised its corporate privileges because it entered into a contract with the sellers and

was identified as the “buyer” in all supporting documentation. *Id.*

4. Analysis

Mullins Bros. argues that the Association was a fully formed and functional homeowners association prior to the transfer of the property containing the Dam and Lake on August 1, 2007, while the Long Defendants argue that it was not.

Steve Mullins filed articles of incorporation for the Association on April 1, 2005. The Association issued invoices in 2006 to at least some of the members, including some of the Long Defendants. (Mullins Aff. ¶ 15; Ex. A-6). The Association had a bank account and deposited funds from the invoices into that account. (Mullins Aff. ¶ 13-14; Ex. A-5). The Association issued checks to lawn mowing services. (Mullins Aff. ¶ 14; Ex. A-5). During the first part of his deposition, Steve Mullins denied ever being an officer of the Association or having anything to do with the Association except for filing the articles of incorporation. (Mullins Depo, Oct. 14, 2023, p. 41-42). During the second part of his deposition and in his December 20, 2023 affidavit, Steve Mullins testified that he was “probably” an officer of the Association and that he or his assistant carried on the Association’s business – e.g., sending invoices and closing documents, paying for lawn mowing services, and scheduling an annual meeting in December 2007. (Mullins Depo, Nov. 29, 2023, p. 229, 238-239, 278-279, 281-282; Ex. Q and R); (Aff. ¶ 14-17). Then, on February 26, 2008, he transferred the funds in the Association’s bank account to a new bank account, also in the Association’s name. (Mullins Aff. ¶ 19). On February 19, 2010, George Bertko, as a trustee or corporate officer of the Association, filed a certificate of continued existence on its behalf. (State’s March 25, 2024 Supplemental Memorandum, Exhibit 1). On October 26, 2011, Cloyd Yough filed an application for tax exemption on behalf of the Association. (Yough Depo p. 60-61; Ex. 31).

There is evidence indicating that the Association existed for several years and conducted activities associated with a homeowners association. If the Court finds that Steve Mullins made a good faith attempt to incorporate the Association, colorably complied with the law, and the Association used and exercised its corporate authority and privileges, then the Association is a de facto corporation, capable of receiving and holding property – including the property where the Dam and Lake sit.

C. Estoppel

“Under the estoppel doctrine, a person who enters into a transaction and treats an organization as a corporation will be estopped from denying the existence of the corporation.” *Americare Healthcare Servs. v. Ngozi Akabuaku*, 10th Dist. Franklin No. 10AP-777, 2010-Ohio-5631, ¶ 13, citing *Quality Interiors*, 1990 Ohio App. LEXIS 5399, at * 12-13; *Cedar View*, 2007 U.S. Dist. LEXIS 113070, at * 7. However, the general estoppel doctrine does not apply where it would be unfair to apply the doctrine or it would allow persons to benefit from their fraud. *Americare* at ¶ 13; *Quality Interiors* at * 13.

“If an organization has held itself out as a corporation, its *members* and officers are estopped from denying its corporate status.” (Emphasis added.) *Thomas v. Price*, 133 Ohio App.3d 585, 589, 729 N.E.2d 427 (1st Dist. 1999); see *Mihalca v. Malita*, 9th Dist. Summit No. 19395, 2000 Ohio App. LEXIS 1593, * 7 (April 12, 2000) (because the plaintiff treated the organization as a corporation and because he was an officer of the corporation, he could not claim that the corporation was a partnership).

In the instant case, although their level of involvement is unclear, at least some of the Long Defendants paid dues to the Association, as reflected in the invoices and bank records in Exhibits Q and R of Steve Mullins Deposition. In the past, Cloyd Yough held himself out to be a

trustee or officer acting on behalf of the Association. (Yough Depo p. 60-61; Ex. 31). As discussed above, there is evidence of transactions between the Association and the Long Defendants and evidence that the Association conducted activities typical of a homeowners association for several years.

II. CONCLUSION

If the Court finds that the Association is a de jure or de facto corporation, or that the estoppel doctrine applies, then the Long Defendants are precluded from denying the Association's valid corporate existence, and therefore, precluded from arguing that the August 1, 2007 quitclaim deed transferring the Dam and Lake property to the Association should be set aside. Conversely, if the Court determines that the Association is not a de jure or de facto corporation, and that estoppel does not apply, then the Court may find that the Association is an invalid corporation that could not receive and hold title to property, and that the attempted conveyance of the property where the Dam and Lake are located was void.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing was served by email and/or regular mail on May 17, 2024, upon the following:

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